“These things retrace between 38% and 62%.” He grabbed his calculator and computed the retrace value.

The stock reached a high of 21.43 in a straight-line run from the low at 18, a rise of about 3.50 points. Now the stock was retracing the gains and had moved down to 18.75, for a 78% retrace. Clearly, this was out of the realm of a simple retrace.

“Should I be worried? I think the trend has changed, but I expect the stock to touch the middle trendline and start recovering.”

The stock paused for 3 days at the middle trendline before moving lower again. It quickly fell below his buy price and headed down.

“I know this was supposed to be a short-term trade, but I'm holding onto this for the long term. As soon as I get my money back, I'll sell.”

The stock moved below the bottom trendline. The *easy game* was now turning into a disaster.

“I thought about selling right there,” he pointed at 11 December when the stock reached 12.75, for a 30% loss. “But this trade is a long-term holding. I should expect some weakness.”

The next day, the stock closed higher, and it gave him renewed hope. Indeed, it closed even higher the following day. But the 2-day recovery was an illusion and the stock declined again. As it plunged below 12.75, John threw up his hands and told his broker to dump the dog. He received a fill at 12.25, the low for the day. From the buy price, John lost 35%.

Two days later, the stock bottomed at about 10.75.

As upset as this made John, the stock was not finished tormenting him. He continued to follow it and watched it recover. He extended the BARR trendline downward (**Figure 14.8**, weekly scale) and noticed that a new, larger BARR had formed. After suffering through the large bump in December, the stock moved higher until it touched the BARR trendline. Then, the stock slid along the trendline, following it lower, unable to pierce the resistance.

During the week of 27 March 1992, the stock closed above the trendline for the first time in months. The BARR was complete, and a confirmed breakout was occurring.